Welspun Living Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

The world's largest exporter of terry towels (per the company), also making bed sheets, rugs and flooring, mostly for big US and UK retailers' own labels, plus its own brands Christy, Welhome, Welspun and Spaces. It also runs pillow plants in the US (Ohio, Nevada).

- Market cap about Rs 24,175 cr.
- FY26 consolidated sales Rs 9,399 cr, down 11%, and operating margin 8% vs 12%: the year US tariffs on India hit orders.
- Q1 FY27 revenue Rs 2,828 cr, up 23.5%; EBITDA margin 12.5% (call figures). Q1 revenue was 9% above Q1 FY25, before tariffs.
- Sep 2026 quarter (Screener consolidated): sales Rs 2,838 cr, up 16%; operating margin 12% vs 6%; net profit Rs 170 cr vs Rs 15 cr.
- Interest cost has come down; capex guided at Rs 400-500 cr for FY27, mainly automation, modernisation and debottlenecking.

2. Concall coverage

The Q2 FY27 call was held (Oct 2026) but its transcript was not yet published when this report was written. The latest call read in full is Q1 FY27 (13 Aug 2026); the Sep 2026 quarter is covered from the reported numbers.

Quarter	Date	Transcript read?
Q2 FY25 → Q3 FY26 (6 calls)	Oct 2024 → Feb 2026	Skimmed for guidance and promises
Q4 FY26	15 May 2026	Key sections
Q1 FY27	13 Aug 2026	Yes, in full ★
Q2 FY27	Oct 2026	Transcript not yet out

About two years of calls read for promises; older transcripts back to 2016 exist on Screener but many old links are missing.

Latest concall highlights: Q1 FY27 (13 Aug 2026), plus Sep 2026 quarter numbers

- Strongest quarter in seven: revenue +23.5%, EBITDA margin 12.5%, third straight quarter of margin gains (from a 6.8% trough). Home textile exports +28%.
- FY27 guidance held: double-digit revenue growth and low-teens EBITDA margin; moving gradually toward 15%. Capacity use to average about 80% across categories.
- India-UK free trade deal (effective 15 July) puts India level with Pakistan, which holds over 50% of UK home textile imports; UK and Europe grew 20%+. Double-digit UK growth expected for years.
- US pillow business grew 2.3x; Ohio at about 81% utilization, Nevada plant started; on track to double pillow revenue to USD 60 mn this year. Flooring margin 10.4%, highest in over two years.
- Vapi facility flooded; partly restarted within a week, fully insured. Q2 expected to be hit, Q3-Q4 restored. Sep quarter numbers still showed sales +16% and margin 12%.

Business mix & capacity

- Domestic vs export: mostly exports; the US is roughly half of sales, with UK, Europe, Japan and India the rest. Branded business about 18% of revenue.
- Capacity utilization: guided about 80% across towels, sheets and rugs for FY27 (bed linen was about 60% in Q1); Ohio pillow plant about 81%.

3. Earning trigger thesis

After the tariff year, Welspun's earnings trigger is volume coming back on a largely fixed cost base: US tariffs on India fell back to about 10%, the UK trade deal opens a market Pakistan dominates, the US pillow plants are scaling, and the flooring business is turning round. The margin recovery has run three quarters and the Sep 2026 quarter kept it going.

Trigger	What management said	Evidence so far	Time horizon	Strength
Volume recovery after US tariffs	Double-digit growth, low-teens margin for FY27 (May and Aug 2026)	Q1 revenue +23.5%; Sep quarter +16%, margin 12%	FY27	Strong
UK free trade deal	Double-digit UK growth for years; take share from Pakistan	UK and Europe +20% in Q1	Multi-year	Moderate: orders converting gradually
US pillow plants (Ohio, Nevada)	Double pillow revenue to USD 60 mn in FY27	Ohio about 81% utilized; pillow business 2.3x in Q1	FY27	Strong
Flooring turnaround	Soft flooring shift, new markets (Australia, Canada)	Margin 10.4% in Q1, highest in over two years	Ongoing	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Balance sheet strengthening mentioned, no debt-cut plan stated
New business	No	Expanding existing lines
Margin up	Yes	'Margin expansion is now in its third consecutive quarter... it is structural, not circumstantial' (Aug 2026)
New management	No	Not discussed
New capacity	Yes	Nevada pillow facility commenced commercial production 31 Mar 2026; Anjar debottlenecking approved Jul 2026 (Aug 2026)
Big orders	No	No order book disclosed
Turnaround	Yes	'We are not simply returning to where we were, we are ahead of it'; flooring 'turnaround efforts are also beginning to deliver visible results' (Aug 2026)
Promoter buying	No	Not discussed

Single concrete driver: Export volumes recovering after US tariffs eased, on a mostly fixed cost base, plus the UK trade deal and the new US pillow plants.

3c. Margin bridge

EBITDA margin 12.5% in Q1 FY27 vs 11.1% a year ago, and about 12% in the Sep quarter vs about 6%. Management credits volume recovery and the unwinding of tariff cost sharing feeding operating leverage, a better business mix, and cost work (automation, energy, process simplification), and calls it structural. Rising cotton and crude-linked costs are the risk; it says these will be passed to customers (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY25 call (May 2025)	FY25 revenue and margin targets	Slightly missed due to cautious orders ahead of tariffs	Missed
Q3 FY26 call (Nov 2025)	Nevada pillow plant operational end-Jan / 1 Feb 2026	Commercial production started 31 Mar 2026	Partly (late)
FY26 calls	Double pillow business in FY26	Doubled to about USD 27 mn	Delivered
Q4 FY26 call (May 2026)	FY27 double-digit growth, margin into the teens	Q1 +23.5% at 12.5%; Sep quarter +16% at about 12%	On track
Nov 2025 call	Domestic retail to Rs 1,000 cr in two years, breakeven first	About 20% growth, near breakeven in Q1 FY27	On track

The story has stayed the same through the tariff shock (largest towel exporter, brands, US onshore pillows, flooring fix), and management was open that FY25 targets slipped. Specific promises like Nevada's start date slipped a little; the big FY27 guidance is being met so far.

5. Bottom line

Durable earning trigger? → YES

A clear, named driver (volume recovery as tariffs eased, plus the UK deal and pillow plants) that is now in the numbers: two strong quarters with margins back near low teens.

Management consistent? → MAYBE

Steady story and FY27 is on track, but FY25 targets were missed and the Nevada start slipped by about two months.

6. Checkpoints for next quarter

- Revenue grows double digits on a year ago in the December quarter
- EBITDA margin holds in the low teens
- Vapi plant is fully restored by the December quarter

Sources

- Screener.in: WELSPUNLIV financials and concall transcripts

This is not investment advice. Do your own due diligence.